



Money Words, Decoded

For your Intelligence: the terms on statements and offers, in plain language.

John says: Half the power in a bank conversation comes from knowing the words. Here's the tavern glossary. Keep it on your phone.

APR — the yearly cost of borrowing, as a percentage. Lower is better.

APY — the yearly return on savings, including compounding. Higher is better.

Beneficiary — the person who receives your life insurance or account money when you die. Overrides your will.

Compound interest — earning returns on your returns, not just on what you put in.

Credit utilization — how much of your card limits you're using. Keep it low.

Deductible — what you pay before insurance starts paying.

Emergency fund — cash set aside for real surprises, kept out of the stock market.

Index fund — a fund that owns a whole market slice at low cost instead of picking winners.

Minimum payment — the least you can pay without a late mark. Paying only this keeps you in debt longest.

Net worth — everything you own minus everything you owe.

Premium — the regular price you pay for an insurance policy.

Principal — the amount you borrowed or invested, before interest or growth.

Rider — an optional add-on to an insurance policy that changes what it covers.

Roth — a retirement account funded with money you've already paid tax on; qualified withdrawals later are tax-free.

Term life insurance — coverage for a set number of years, usually the most affordable kind.

Traditional 401(k) / IRA — retirement accounts funded before tax; you pay tax when you withdraw.

Employer match — money your employer adds to your retirement plan when you contribute. Free money.

Grace period — days after a due date before a late fee or interest kicks in. Don't count on it.

Underwriting — how an insurer decides whether to cover you and at what price.

Diversification — spreading money across many holdings so no single one decides your fate.

Three questions worth asking any time

- "What does this cost me per year, in dollars?"
- "What happens if I miss a payment?"
- "Can I get that in writing?"

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